Performance Appraisal (PA) Guidelines approved in the 848th Board meeting of DSE with effect from January 1, 2017.

Dhaka Stock Exchange Limited
Performance Appraisal (PA) Guidelines

Preface

DSE's primary goals aim at making it a modern, dynamic and efficient Organization. To achieve the goal DSE attaches high importance to rewarding and obtaining its human resources. In this regard, DSE has designed Performance Appraisal to assess employee performance against Key Performance Indicators assigned to them at the beginning of the year or at the time of posting in a new role. The process provides an employee an objective assessment of his performance and feedback leading to improvement of employee performance. The performance appraisal process uses goal-setting matrix and performance rating in accordance with a pre-determined criteria to identify progress and areas of individual strengths. It is an ongoing assessment of employee's performance, conducted each year in a manner to review their contributions to the organizational goals. DSE has undertaken the initiative to implement the Performance Appraisal (PA) focusing on:

(i) Appraisal of achievements against key objective/KPI;
(ii) Additional contributions of the employee during the appraisal year;
(iii) Appraisal of attributes & potentials.

Objectives

The main objective of performance appraisals is to measure and improve the performance of employees and increase their future potential and value to the company. Other objectives include providing feedback to the employee, understanding training needs, clarifying roles and responsibilities and determining how to allocate rewards such as promotion, increment & other performance based pay, career development plan or measures in case of poor performance etc.

General Guidelines:

1. Key Performance Indicators (KPI) is a set of SMART (specific, measurable, achievable, realistic targets) objectives that a company or industry uses to gauge or compare performance in terms of meeting their strategic and operational goals. KPIs vary between job roles and positions, depending on their priorities or completion deadline.

2. The number of KPIs for an employee should not exceed 10. Tasks in detail as to performance against each KPI should be clearly stated in the form.

3. Every year, KPIs will be set for each employee to sync with the overall objectives of the business unit she/he is posted. The objectives of the business units together constitute the goals of the organization. The KPI form will be used to record the major objectives the employee will be assigned apart from routine functions described in the Job Description form. Respective supervisor/head of department will fix the KPI in the prescribed format (KPI FORM) with timeline for achievement agreed by both the employee & the supervisor/head of department; sign on the form and submit the same to HRD.

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4. An employee will evaluate his/her own performance against the KPIs in the prescribed format. Achievements and failures will be recorded in the appraisal form in utmost fairness, evidenced by appropriate documents or explained with justifiable reasons where an objective has not been achieved either in full or part; or on timeline agreed. The evaluation will be reviewed by his/her Appraiser to ensure fairness for which the Appraiser must hold one or more meetings with the Appraisee. The appraiser will discuss with the Appraisee his own view of the evaluation, agreed or disagreed and record his comments. Any disagreement will be explained in detail and a final decision made by the Supervisor of the Appraiser; usually the Division Head of the respective Department.

5. An employee shall have the right to access to his Performance Appraisal (PA) report that enables the employees to know his weaknesses to correct/improve/rectify accordingly. A copy of the PA report may be given to the employees.

6. Performance Appraisal (Applicable for Executive and above)

Part-1, General Information:

This part will be filled in by the respective Employee with authentic information and must sign before submitting the same to the Supervisor.

Part-2, Appraisal of Achievement against Key Objectives/KPI: Performance Rating Scale:

Outstanding	:	5 (Achieved all KPIs and substantially exceeded expectations),
Good	:	4 (Achieved all objectives),
Fair	:	3 (Achieved objectives in general but shortfalls observed in achievement of the major KPIs),
Acceptable	:	2 (Achieved objectives partially and needs improvement),
Poor	:	1 (Performance has been poor throughout and found unsuitable for the assigned job role)

In order to ensure appraisals are done in the most objective manner following ratios are set to accord appraisal ratings to employees within a department; the head of the department will ensure that the limits are not exceeded as the sum total of the ratings of all employees of the organization will be equal to similar numbers:

Category	% of number of appraisee
Outstanding	5%
Good	30%
Fair	30%
Acceptable	30%
Poor	5%

Additional Contributions of the Appraisee during the performance period:

Additional contribution of the employee beyond his KPIs and regularly assigned tasks during an appraisal year which contribute to achieve the organizational goals will be duly considered for reward. Any initiative, new business idea or efforts which contribute

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positively for accomplishment of the departmental performance as well as for achieving the organizational goals are examples of additional contributions. This part should be filled in by the Supervisor with comment on contribution. Management may rate employees with additional contribution and link the same with the overall performance appraisal.

Part-3, Recommendation for Training & Development:

This part should be filled in by the Supervisor in consultation with the Appraisee with comments as recommendation for need of training/development program for the respective Appraisee.

Part-4, Recommendations and Opinions:

This part should be filled in by the Supervisor with comments as recommendations for Promotion, special award, include as KPO (applicable for Outstanding and Good ratings only) and Transfer for the respective employee considering the performance evaluation of KPI, Attribute & Attitude and Additional Contributions.

Appraisee's Opinion:
This part would be filled in by the Appraisee for his views about the evaluation. If he/she disagrees, he will have to explain the reason, if any.

Evaluation of the Divisional Head:
This part should be filled in by the Divisional Head about the evaluation and performance rating. The comments of the Divisional Head will be required if he/she differs with the evaluation & recommendation of the Appraiser.

Part-5, Appraisee's Attribute & Potentials:

This part includes the following category:

(i) Personal Characteristics: This includes the area of Intelligence, Personality, Honesty, Sincerity, Dependability, Behavior, Attitude, Etiquette, Flexibility, Adaptability, Neat & Cleanliness, Physical & Mental fitness.
(ii) Work related Knowledge: This includes the area of Knowledge about assigned job, Technical Knowledge, Quality & Quantity of Work done; Attitude to Work, Steadiness under Pressure, Competency & Eagerness to take additional/ higher Responsibility.
(iii) Innovation & Creativity: This includes the area of Development of Self & Others and Collaborative Achievement; Drive, Innovation, Act with Entrepreneurial Drive and Embrace Diversity; Drive Sustainable Solutions, Demonstrate Customer Focus and Effective Communication.
(iv) Office Discipline: This includes the area of Responsible, Disciplined, Time Management & Punctuality, Obedient to both Supervisor & Organization, Cooperation with Colleagues & Subordinates.

Part-6, Recommendations:

Decision regarding inclusion as KPO, Promotion, special award & others (if any): The recommendation of Appraiser/Dept. Head regarding inclusion as KPO (Key Potential Officer), special award & others (if any) will have to be approved/rejected by the Division Head.

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7. Rewards

Once the performance appraisal of all employees are completed rewards will be determined on the following parameters:

1) Cost of Living Adjustment (COLA): The cost of living due to inflation affects all levels of employees; hence an adjustment is necessary to the pay out to the employees at the rate of inflation determined by authorities. Such adjustment will be subject to net pay out available to employees from the organisation's distributable profit; such adjustments may be limited to employees with higher performance rating only.
2) Merit increment: Merit increment, in addition to COLA, may be permitted at varying rates to employees with higher performance rating subject to funds available for distributable profit.
3) Promotion: Promotion will usually be restricted to employees with performance rating Outstanding and Good but not exceeding 15% of the total number of employees during a performance year.

Given below is an illustration of how COLA, Merit increment and promotion may be awarded:

Outstanding	COLA 5%+ Merit 5%+ Promotion
Good	COLA 5%+ Merit 3%+ Promotion 10% (selectively)
Fair	COLA 5%+ Merit 2%
Acceptable	COLA 5%
Poor	No Increment

NB: COLA and rate of merit increment will be absolutely at the discretion of the management recommendation and Board approval

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